Aeroflex Industries Ltd — Concall Tracker

Do the earnings calls show a durable profit trigger, and has management stayed consistent about it? | Report date: 5 July 2026

Screener ticker: **AEROFLEX** (NSE/BSE) · 12 concalls read (Nov 2023 → May 2026, i.e. every call since the Aug-2023 IPO)

A note on the name. This report was requested as "Aeroflex Enterprises Ltd." On Screener there are two different listed companies. The maker of metallic flexible flow solutions / hoses described in the request is **Aeroflex Industries Ltd** (ticker AEROFLEX; sales ~₹443 crore). "Aeroflex Enterprises Ltd" (ticker AEROENTER) is a separate, tiny company (sales ~₹8 crore) and is **not** the hose business. This report therefore covers the correct company — **Aeroflex Industries Ltd**.

1. Snapshot

What the business does (one line): Aeroflex makes stainless-steel braided flexible hoses and their fitted assemblies — bendable metal pipes that carry gas, liquid or steam safely in factories, ships, power plants, oil & gas, steel and, now, data centers. It sells mostly to overseas markets (it is India's largest exporter of these hoses) and earns money by moving buyers from plain hoses to higher-priced finished "assemblies" and newer products.

Market value (market cap)	₹6,038 crore — the total price tag the stock market currently puts on the whole company.
Sales, FY26 (consolidated)	₹443 crore — the year's total sales, up about 17% from ₹379 crore a year earlier. (Screener's downloadable sheet shows ₹412 crore because it is the standalone parent only; management reports the consolidated ₹443 crore that includes the Hyd-Air subsidiary — we use the consolidated figure.)
Net profit, FY26	₹55.5 crore — what is left after all costs and tax, up only ~7% on FY25's ₹52 crore. Profit grew slower than sales because new plants added heavy depreciation (the yearly write-down of machinery cost).
Operating margin, FY26	22.6% — for every ₹100 of sales, about ₹22.6 is operating profit (before interest, tax and depreciation). This has crept up steadily from ~20%.
Return on capital (ROCE)	18.9% — for every ₹100 of money tied up in the business, it earns about ₹19 a year before tax. A healthy number.
Debt	Zero — the company owes no meaningful loans; it funds growth from its own cash.
Valuation (P/E)	~109 — investors are paying about ₹109 for every ₹1 of yearly profit. That is very expensive, so the price already assumes fast future growth.

2. Concall coverage

Every earnings call since listing was read — 12 calls spanning about two and three-quarter years. The latest call (Q4 & FY26, held 6 May 2026) is present and fully read; no gaps.

Quarter	Call date	Read?	Quarter	Call date	Read?
Q2 FY24	Nov 2023	Yes	Q3 FY25	Jan 2025	Yes
Q3 FY24	Feb 2024	Yes	Q4 FY25	May 2025	Yes
Q4 FY24	May 2024	Yes	Q1 FY26	Aug 2025	Yes
Q1 FY25	Aug 2024	Yes	Q2 FY26	Nov 2025	Yes
Q2 FY25	Nov 2024	Yes	Q3 FY26	Feb 2026	Yes
			Q4 FY26 ★ latest	May 2026	Yes

★ Latest concall highlights — Q4 & FY26 (call held 6 May 2026)

- **Record finish to the year.** Q4 sales ₹126.5 crore, up 38% on a year earlier — the biggest quarter ever. Q4 operating profit ₹30 crore (margin 23.9%) and net profit ₹17.6 crore, up 57%. Full-year FY26 sales ₹443 crore (+17%), operating profit ~₹100 crore, net profit ₹55.5 crore. A 20% dividend (₹0.40 per share) was declared. Plainly: a very strong quarter that rescued a year that started badly.
- **The new engine — data-center liquid cooling — has arrived.** In its first ~4 months the company sold 617 "skid assemblies" (pre-built cooling units for AI data centers) worth ~₹21 crore. It has scaled this line's capacity from 2,000 to 6,000 units a year and aims for 15,000 within two quarters, with a new plant at Chakan (Pune). It showcased the range at a Washington data-center trade show to pull in overseas leads.

- **New guidance is aggressive.** Management is aiming for roughly 35% sales growth in FY27 (the core hose business 15–20%, the rest from the cooling ramp), with operating margin ~23% and a long-term goal of 25%. Skid assemblies are targeted to jump from 5% of sales to ~20–22% in FY27, and could reach ₹325–330 crore a year by FY29.
- **The tariff cloud has lifted.** The US import tax on their products, which had spiked and hurt the June-2025 quarter, was cut back to ~10–15% from mid-February 2026. Management said "we don't have any issues with tariffs as I speak." US sales still grew for the year, and domestic (Indian) sales jumped ~40%.
- **Two things to watch.** (1) A supply bottleneck in skid assemblies — demand is running ahead of what quality checks can clear, so dispatches lag orders for now. (2) An income-tax demand of about ₹40 crore (roughly a full year's profit) tied to a 2019 loan waiver; management is "extremely confident" it will be reversed on appeal. Metal bellows, an older promised product, is still ramping slower than planned.

2c. Business mix & capacity

India vs overseas split	Roughly **60% exports / 40% domestic** as of FY26. A year or two ago it was closer to 80/20 — Indian sales have grown much faster (~40% in FY26) and now make up a bigger slice. Plainly: still an export-led business, but India is rising fast, partly because the new cooling products are sold only in India for now.
Capacity use	Hose plants ran at only ~69% of capacity in the first half of FY26 (up toward higher levels by year-end). Plainly: there is comfortable room — roughly a third of the hose capacity is still free — so the company can grow output for a while before needing big new hose plants. Capacity was expanded to 17.5 million metres a year, heading to 20 million.
New-product capacity	Data-center skid assemblies scaled to 6,000 units/year (target 15,000). Metal bellows plant still running below 20% use — plenty of unused capacity but sales have been slow to build.

3. Earning trigger thesis ★

The headline of this report. Aeroflex has run **one steady, working trigger and added a big new one**. The steady trigger: keep shifting sales from plain hoses (lower margin) to finished **assemblies and fittings** (higher margin), which has lifted operating margin from ~20% to ~23%. The new trigger, live since FY26: supplying **flow-control "skid assemblies" for cooling AI data centers**, under a long-term deal with a very large US company — a genuinely new, fast-growing end-market where the company has already gone from signing to shipping ~₹21 crore in months. Together these are concrete and already showing up in the numbers, though the data-center piece rests heavily on a single customer and is very young.

Trigger	What management said	Evidence so far	Time horizon	Strength
Shift to higher-margin assemblies	Move from ~33% of sales to 60–70%; lift operating margin ~1 percentage point a year toward 25%.	Assemblies reached ~50% of sales a year ahead of plan; margin rose from ~20% (FY24) to 22.6% (FY26).	Playing out now; 25% margin targeted over 4–5 yrs.	**Strong**
Data-center liquid cooling (skid assemblies)	Long-term deal with a >US$50bn US firm; could be ~20–22% of sales in FY27 and ₹325–330 cr by FY29.	617 units / ~₹21 cr sold in first ~4 months; capacity tripled; more orders and international leads.	Just started; scale-up over FY27–FY29.	**Moderate**
US tariff relief + India tailwinds	Tariff cut to ~10–15%; India-EU trade deal to help European sales.	Tariff lowered mid-Feb 2026; US sales grew again; domestic sales up ~40%.	In effect now.	**Moderate**
Metal bellows (older new-product bet)	Dangled since 2023 as a ₹80–90 cr, 28–30% margin line.	Only ~₹1.5 cr (FY25) then ~₹8 cr (FY26); plant <20% used; repeatedly delayed.	Peak pushed out to FY28–29.	**Weak / unproven**

4. Management consistency scorecard

Promised versus delivered, across the calls read:

Period	What was promised	What actually happened	Verdict
FY24 (Q2 call)	Full-year sales growth of 30–40%.	Sales grew only 18% (Red Sea shipping crisis + falling steel prices). Volumes did grow ~32%.	**Missed**
FY24–FY26	Lift assembly mix to 60–70% and margin toward 25%.	Assembly mix hit ~50% a year early; margin rose 20% → 22.6%. On track.	**Delivered**

FY25–FY26	Expand capacity, on time and under budget.	Repeatedly delivered capacity expansions below the budgeted spend, with cash savings.	Delivered
FY24 onward	Metal bellows: an ₹80–90 cr, high-margin line from ~Dec 2024.	Sales still tiny (₹8 cr FY26); plant under-used; timeline slipped to FY28–29; a related mini-bellows plan was cut back.	Missed / slipped
Q1 FY26	"The weak June quarter is only a temporary blip."	The next three quarters were all record highs — blip recovered emphatically.	Delivered
FY26 (start of year)	~20–25% operating-profit growth for FY26.	Operating profit grew ~26% to ~₹100 cr — met.	Delivered
FY26 → FY29	Data-center cooling to scale to ~20% of sales, then ₹325 cr.	Off to a fast start (₹21 cr in 4 months) but far too early to judge.	Too early

Narrative drift: The *core* story — richer product mix, steady margin gains, disciplined spending — has stayed remarkably steady and has largely been delivered, which is a real positive. But there is genuine drift around the edges. The big FY24 growth promise was missed. Metal bellows was dangled as a major profit driver for two years and has badly underdelivered, with the plan quietly scaled back. A grand "₹1,000 crore in 4–5 years" aspiration softened into more modest capacity-based figures. And management has a habit of introducing a shiny new trigger almost every year (railways, mini-bellows, a new COO, then data-center cooling) to keep the growth story fresh. On tone, the founder turns noticeably defensive when a quarter dips sequentially, urging listeners to "judge us over 2–3 years, not quarter to quarter," and often guides only the bottom line, not sales.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete, still-live driver — and in fact two working together. The years-long shift into higher-margin assemblies has demonstrably lifted profitability and is continuing. On top of it, the data-center liquid-cooling business is a real, fast-growing new market where the company has already moved from a signed deal to shipping ₹21 crore of product and is tripling capacity. The removal of the US tariff overhang and a ~40% surge in Indian sales add support. The one caveat that stops this being a slam-dunk is that the exciting new leg leans on a single large customer and is only months old — but the base margin trigger alone already justifies a Yes.

Management consistent? → MAYBE

The record is genuinely mixed rather than clearly good or bad. In the plus column, management has delivered the core margin/mix story ahead of schedule, expanded capacity under budget, met its FY26 profit target, and made good on its promise that the weak June-2025 quarter was a blip. In the minus column, it missed its big FY24 sales-growth guidance, over-promised metal bellows for two straight years before quietly scaling it back, let a headline ₹1,000-crore aspiration fade, and tends to roll out a fresh new "trigger" each year while turning defensive when quarterly numbers wobble. The core promises are kept; the ambitious add-ons often are not. That is a Maybe, not a Yes.

Sources: all 12 Aeroflex Industries Ltd earnings-call transcripts (Nov 2023 – May 2026) from Screener.in, cross-checked against Screener's financial statements. "Consolidated" figures (which include the Hyd-Air subsidiary) are used where management reports them; Screener's downloadable sheet is standalone-only and shows slightly lower sales. This is an educational reading of management's own words and reported numbers, not investment advice.